

Sustainable Energy Partnership of Southeast Pennsylvania (SEP) Renewable Energy Strategy Plan

I. Plan Statement

The goal of SEP's renewable energy strategy plan is to provide a guideline for how SEP will achieve their renewable energy goals for purchased electricity.

II. Renewable Energy Goals

- Purchase 100% renewable electricity for all purchased energy by 2035 and meet the following interim targets:
 - 25% by 2026
 - 50% by 2028
 - 75% by 2030
 - 90% by 2032
 - 100% by 2035
- Provide a long-term hedge against rising energy prices.
- Minimize capital expenditures and leverage Federal and state grant funding and tax incentives.
- Evaluate all renewable energy purchasing options to select those which most closely align with SEP financial and renewable energy goals.
- SEP will purchase one Green-e Solar or Wind Renewable Energy Credit (REC) for every MWh of conventional electricity purchased into the subaccount.

III. Renewable Energy for Purchased Electricity - Parameters

- Qualifying renewable energy sources - solar, wind and small hydro projects (<25 MW for hydro). Other sources will be considered as opportunities arise.
- Source diversification of qualifying renewable sources is preferable.
- Qualifying geography of renewable energy projects – [PJM territory](#) with preference for projects located in the Delaware Valley region of Pennsylvania.
- New projects under development are preferred. Existing projects with commercial operation dates no older than 2 years may also be considered.
- Maximum term length for any individual Power Purchase Agreement (PPA) 25 years.
- Power Purchase Agreements (PPA) can be physical or virtual, as long as associated project RECs are included or involved in a swap.
- RECs produced as part of SEP-procured renewable energy projects must have RECs that qualify to meet one of the following:
 - State of Pennsylvania (PA) Alternative Energy Portfolio Standard (AEPS) Tier 1 or Solar requirement, or
 - Green-e Solar or Wind RECS
- Each SEP member will identify and share information about available property that they own or private property that they are aware of that may be available and that may be suitable for large-scale (>1MW) renewable energy development.

IV. Renewable Energy Sourcing

- SEP may utilize Supplier to source PPA deals and sleeve PPA physical energy to SEP's subaccount held by Supplier and deliver the associated RECs to Supplier to apply towards SEP's PA AEPS requirements.
- For PPA(s) which term lengths extend beyond the current Supplier-SEP contract period, Supplier PPA with the renewable energy seller will include a provision allowing for the assignment of the PPA and delivery of the associated energy and RECS to SEP's successor supplier should SEP not continue with existing Supplier upon expiration of the current or future supply contracts.
- Supplier may source RECs on SEP's behalf for any term, as requested by SEP or SEP may source RECS outside of Supplier. For PA AEPS qualifying RECS purchased outside of Supplier, SEP will arrange for the seller to deliver the RECs to Supplier to meet SEP's PA AEPS requirements.
- SEP may also piggyback off other PPA deals presented to them or sourced by others and direct the energy and RECs purchased from those deals to their subaccount.
- SEP's energy consultant (currently Enel X) will independently evaluate the financial and hedge position impact of all PPAs contemplated for execution by SEP.
- Requires that all SEP members are authorized to enter into long-term financial commitments that are at least equivalent to the contemplated PPA term.
- Each SEP member is free to separately enter into behind the meter renewable energy projects including those whose facility electric accounts are enrolled in the SEP portfolio.

V. Other Considerations

- Projected financial outcome of each renewable energy purchase falls within an acceptable range, with the range determined based on the cost of conventional energy for the contemplated PPA term length (based on available market long-term forward curves for the SEP region) plus a premium to be determined at the time of PPA evaluation that takes into account:
 - Value of a long-term hedge
 - Jobs creation and economic development impact from project within SEP's region
 - Creation of clean energy generated in the region
 - Contribution towards SEP member emissions reduction goals
 - Demonstrated leadership in promoting and supporting renewable energy within the SEP region
- Electric vehicle (EVs) charging stations may be included in the SEP supply portfolio so that renewable energy can be purchased for EVs and that energy can be optimized through peak load management, demand response and load shifting strategies.

VI. Portfolio Renewable Energy Construction – Representative Timeline

SEPSPA Representative Portfolio Construction

